

WARREN'S WAY

Graham's greatest student, Warren Buffett, has become the world's most successful investor by putting new twists on Graham's ideas. Buffett and his partner, Charles Munger, have combined Graham's "margin of safety" and detachment from the market with their own innovative emphasis on future growth. Here is an all-too-brief summary of Buffett's approach:

He looks for what he calls "franchise" companies with strong consumer brands, easily understandable businesses, robust financial health, and near-monopolies in their markets, like H & R Block, Gillette, and the Washington Post Co. Buffett likes to snap up a stock when a scandal, big loss, or other bad news passes over it like a storm cloud—as when he bought Coca-Cola soon after its disastrous rollout of "New Coke" and the market crash of 1987. He also wants to see managers who set and meet realistic goals; build their businesses from within rather than through acquisition; allocate capital wisely; and do not pay themselves hundred-million-dollar jackpots of stock options. Buffett insists on steady and sustainable growth in earnings, so the company will be worth more in the future than it is today.

In his annual reports, archived at www.berkshirehathaway.com, Buffett has set out his thinking like an open book. Probably no other investor, Graham included, has publicly revealed more about his approach or written such compellingly readable essays. (One classic Buffett proverb: "When a management with a reputation for brilliance tackles a business with a reputation for bad economics, it is the reputation of the business that remains intact.") Every intelligent investor can—and should—learn by reading this master's own words.

No matter which techniques they use in picking stocks, successful investing professionals have two things in common: First, they are